Gilead Security Intelligence Brief

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Executive Intelligence Summary

Gilead currently operates within a Moderate market risk regime, with a Bullish trend signal and 7.5% 90-day return. This brief integrates market signals, SEC financial baselines, product exposure, FX dynamics, pipeline intelligence, valuation scenarios, news/filings monitoring, and risk-adjusted expected return modeling into a security-level intelligence view.

- Product concentration remains a key structural risk because HIV represents the majority of product sales.
- Pipeline execution and oncology diversification remain important drivers of long-term upside.
- Valuation and risk-adjusted return outputs should be treated as directional model estimates.

Security Intelligence Signal

Expected Return Signal:	Moderate
Confidence:	48% (Low)
Risk-Adjusted Return:	7.4%
Risk Haircut:	46.0%
Fundamental Signal:	Moderate
Fundamental Signal Score:	2
Composite Risk Score:	3.40 / 5
Composite Rating:	Moderate

Market Intelligence

Current Price:	$132.69
30-Day Return:	-3.29%
90-Day Return:	7.48%
Momentum (14D):	-5.53%
Relative vs S&P:	5.06%
Annualized Volatility:	27.93%
Max Drawdown:	-17.54%
Risk Regime:	Moderate
Trend Signal:	Bullish

Financial Quality

Revenue Growth:	2.4%
Operating Margin:	34.0%
R&D Intensity:	19.7%
Debt / OCF:	2.21x

Financial quality summarizes margin strength, growth, reinvestment intensity, and debt coverage. Strong financial quality can partially offset product concentration and pipeline execution risk.

Business Segment Exposure

Total Product Sales:	$28,915M
HIV Sales:	$20,816M
HIV Concentration:	72.0%
Largest Segment:	HIV (Core Franchise)
Top 3 Concentration:	89.3%
Revenue Dependence:	Highly Concentrated
Growth Exposure:	11.1%

Declining Exposure: 14.2%

Product concentration remains a key structural risk. HIV sales represent a majority of product revenue, making franchise durability, pricing pressure, competitive positioning, and pipeline diversification key monitoring priorities.

Capital Allocation

Dividends: $4,000M

Buybacks: $1,900M

FCF Returned: 63%

Capital Allocation Score: 3 / 5

Allocation Signal: Balanced Allocation

Capital allocation can support downside protection through dividends and buybacks, but excessive capital return may reduce reinvestment flexibility.

Pipeline Intelligence

Clinical Stage Programs: 53

Phase 1 Programs: 25

Phase 2 Programs: 13

Phase 3 Programs: 15

Late-Stage Pipeline: 28.3%

Pipeline Maturity: Moderate / Late-Stage Weighted

Pipeline execution is central to the security intelligence view because future diversification depends on successful expansion beyond the core HIV franchise.

FX Exposure

Foreign Currency Sales: 26%

EUR/USD 30-Day Return: 0.73%

EUR/USD 90-Day Return: -0.69%

FX Volatility: 6.77%

USD Trend: Neutral

FX Risk Regime: Low

Estimated Revenue Impact: -0.18%

News and Filings Risk

News Risk Score: 1.00 / 5

News Risk Label: Low

No recent news or filing items detected.

Unified Intelligence Risk

Intelligence Risk Score: 3.00 / 5

Intelligence Risk Label: Elevated

Unified intelligence risk is elevated with a score of 3.00/5. This combines market volatility, SEC risk factor intensity, and recent news / filing urgency.

Risk-Adjusted Expected Return

Expected Price Target: $150.50

Expected Return: 13.4%

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Risk-Adjusted Return: 7.4%

Signal: Moderate

The probability-weighted price target is $150.50, implying a raw expected return of 13.4%. Business-specific adjustments total 0.2 percentage points, including diversification (-1.8), capital allocation (1.2), segment role (-0.5), and forward revenue mix (1.2). After applying the risk haircut, the risk-adjusted return is 7.4%, producing a moderate signal.

Risk Intelligence

Composite Risk Score: 3.40 / 5

Composite Rating: Moderate

Composite risk is classified as Moderate, driven primarily by Product Concentration, Strategic Alignment, Regulatory / Policy. Structural concentration remains a key underlying risk. Current revenue mix remains meaningfully misaligned with the future diversification strategy. Financial quality remains a stabilizing factor.

Analyst Note

Primary security intelligence focus should remain on product concentration, pipeline execution, market volatility, FX exposure, policy/regulatory risk, news and filings activity, and capital allocation discipline. These areas represent the clearest link between external risk signals and business impact.

Disclaimer

This report is for educational and informational purposes only. It is not investment advice, financial advice, or a recommendation to buy or sell securities. Model outputs are directional estimates and should not be treated as precise forecasts.